Project Summary – Tender Pricing & Cost Controlling

Key results from all pages · 80 MEP tenders 2013–2019 · 28 executed projects · fictional data

Key findings

- Win rate is 35 % overall and 50 % in 2019, above the 40 % target. Low margins win more often: 55.6 % below 10 % profit vs. 18.2 % at 18 % and more.
- Lost tenders were on average 8.7 % more expensive than the winning bid.
- Material is about half of the bid price; 48 M EGP (1.7 %) is not covered by BOQ data, because 15 lines have no quantity.
- Executed projects cost 6.6 % more than planned (30 Jun 2020). 10 of 28 projects are more than 10 % over budget; HVAC has the highest overrun (8.8 %).

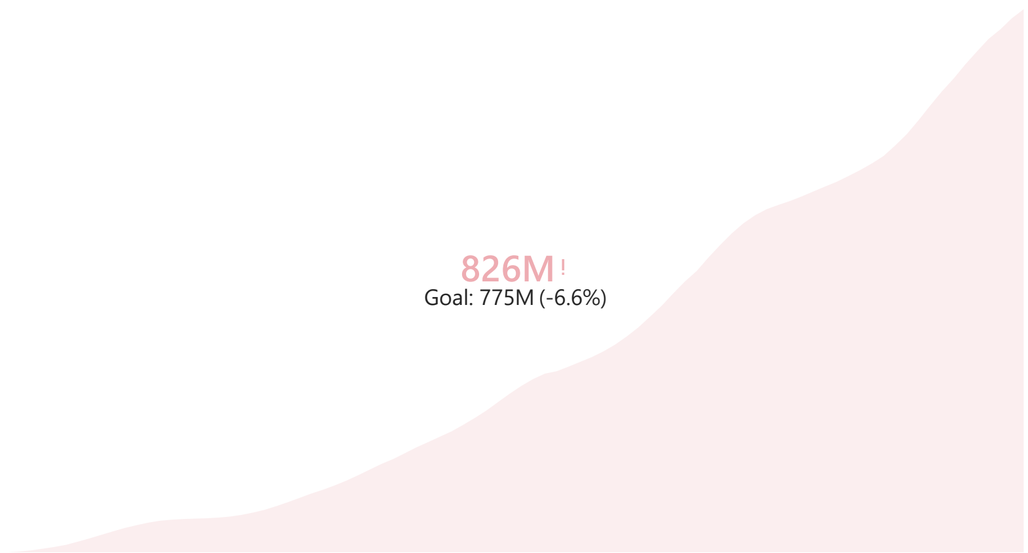
Total Bid Value
2.88bn

Price Gap to Winner
8.7%

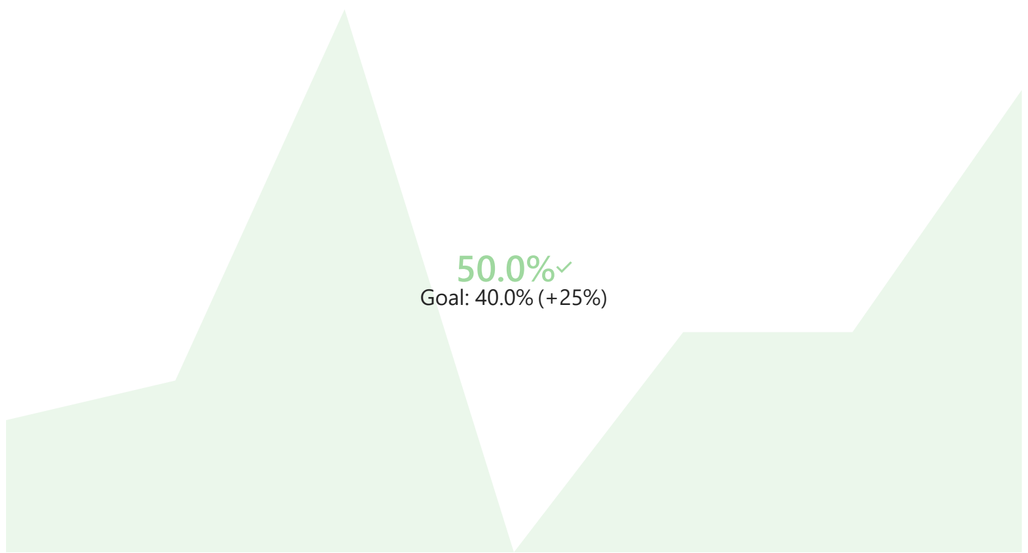
Missing BOQ quantities (EGP)
48.03M

Projects > 10 % over budget
10

Actual cost vs. plan (to 30 Jun 2020)



Win rate 2019 vs. target (fictional 40 %)



Project Cost Controlling – Budget vs. Actual and Forecast

28 executed MEP projects · reporting date 30 June 2020 · fictional data

Status

Completed | Ongoing

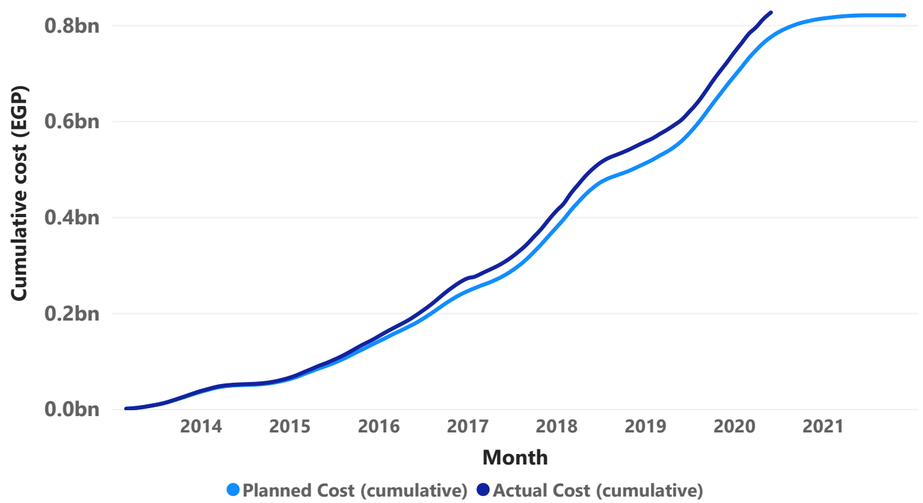
Budget (BAC)
820M

Actual to Date
826M

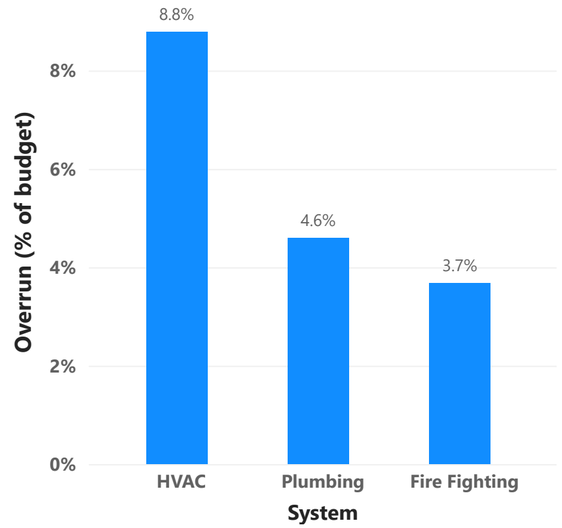
Forecast at Completion
884M

Overrun %
7.8%

Cumulative cost: planned vs. actual



Forecast overrun by system



ProjectID	Status	Budget (BAC)	Actual to Date	Forecast at Completion	Overrun %
T-037	Ongoing	56,550,948	56,398,779	68,884,780	21.8%
T-034	Completed	11,611,502	14,090,810	14,090,810	21.4%
T-036	Completed	12,769,866	15,084,416	15,084,416	18.1%
T-070	Completed	17,487,086	20,651,419	20,651,419	18.1%
T-021	Ongoing	28,965,955	7,169,573	33,766,890	16.6%
T-072	Completed	15,785,710	18,368,588	18,368,588	16.4%
T-015	Completed	21,591,780	24,810,259	24,810,259	14.9%
T-039	Completed	46,113,474	51,654,278	51,654,278	12.0%
T-031	Completed	44,797,156	50,062,700	50,062,700	11.8%
T-052	Completed	45,349,692	50,139,004	50,139,004	10.6%
T-069	Completed	21,250,464	23,368,876	23,368,876	10.0%
T-071	Completed	14,486,592	15,695,125	15,695,125	8.3%
T-055	Completed	29,447,014	31,868,275	31,868,275	8.2%
T-062	Completed	26,086,187	28,066,024	28,066,024	7.6%
T-005	Completed	18,904,902	20,306,363	20,306,363	7.4%
T-051	Completed	15,829,269	16,990,666	16,990,666	7.3%
T-026	Ongoing	11,606,547	11,977,456	12,373,492	6.6%
T-022	Completed	56,658,753	60,162,474	60,162,474	6.2%
T-033	Ongoing	37,438,844	36,135,749	39,610,938	5.8%
T-028	Completed	28,915,337	30,552,748	30,552,748	5.7%
T-024	Ongoing	50,408,864	37,500,312	52,375,685	3.9%
T-074	Completed	66,883,102	69,017,136	69,017,136	3.2%
T-058	Completed	7,949,724	8,040,922	8,040,922	1.1%
T-042	Completed	40,830,392	40,851,088	40,851,088	0.1%
T-080	Completed	13,394,590	13,394,797	13,394,797	0.0%
T-045	Completed	14,510,204	13,931,616	13,931,616	-4.0%
T-010	Completed	22,225,549	20,999,630	20,999,630	-5.5%
T-047	Completed	42,474,704	39,053,009	39,053,009	-8.1%
Total		**820,324,207**	**826,342,092**	**884,172,009**	**7.8%**

Cost & FX Risk – Escalation Scenario

Move the USD change and the contract threshold to see who pays · won contracts · fictional data

Result

- ☐ Lost
- ■ Won

Escalation Threshold

5.00%

USD Change

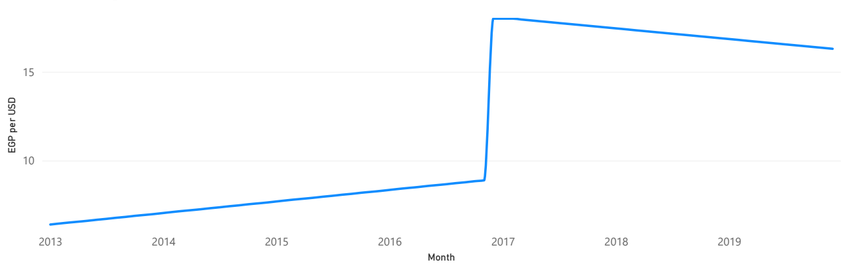
10.00%

Pricing: risk margin

Scenario: who pays?

FX Exposure Base	FX Contingency	FX Contingency % of Bid	Escalation Amount	Escalation % of Bid	Contractor FX Risk
612.39M	31M	3.4%	61M	6.8%	0

USD/EGP exchange rate



TenderID	Client	Total Bid Value	Contractor FX Risk	Escalation Amount	FX Contingency
T-074	Crescent Healthcare	78,840,693.00	0	4,601,139	2,300,570
T-022	Horizon Malls	61,627,356.00	0	4,537,062	2,268,531
T-037	Horizon Malls	60,335,687.00	0	4,143,193	2,071,596
T-024	Horizon Malls	53,508,679.00	0	3,571,607	1,785,804
T-039	Crescent Healthcare	51,780,101.00	0	3,579,969	1,789,985
T-052	Pyramid Foods	49,544,278.00	0	3,146,294	1,573,147
T-031	Nile Development Co.	49,174,838.00	0	3,138,867	1,569,433
T-047	Lotus Offices	45,956,240.00	0	3,061,098	1,530,549
T-042	Lotus Offices	43,755,467.00	0	2,906,307	1,453,153
T-033	Delta Real Estate	40,388,393.00	0	2,818,106	1,409,053
T-055	Nile Development Co.	32,703,720.00	0	2,294,540	1,147,270
T-028	Crescent Healthcare	32,535,143.00	0	2,225,925	1,112,962
T-021	Lotus Offices	31,161,624.00	0	2,227,066	1,113,533
T-062	Lotus Offices	29,481,662.00	0	2,040,475	1,020,237
T-010	Golden Grain Foods	24,409,755.00	0	1,780,737	890,368
T-069	Pyramid Foods	23,403,025.00	0	1,606,274	803,137
T-015	Pyramid Foods	23,314,696.00	0	1,626,514	813,257
T-005	Crescent Healthcare	21,225,781.00	0	1,423,735	711,868
T-070	Sphinx Industrial	19,656,827.00	0	1,345,943	672,971
T-072	Sphinx Industrial	17,337,843.00	0	1,233,456	616,728
T-051	Horizon Malls	17,229,054.00	0	1,200,901	600,451
T-045	Sphinx Industrial	16,512,340.00	0	1,189,974	594,987
T-071	Lotus Offices	15,494,078.00	0	1,158,832	579,416
T-080	Delta Real Estate	14,260,331.00	0	977,678	488,839
T-036	Nile Development Co.	13,993,973.00	0	1,008,292	504,146
T-026	Delta Real Estate	12,787,896.00	0	907,953	453,976
T-034	Golden Grain Foods	12,523,078.00	0	868,108	434,054
T-058	Nile Development Co.	8,774,405.00	0	619,357	309,679
Total		**901,716,963.00**	**0**	**61,239,402**	**30,619,701**

Tender Overview – Win Rate, Margin and Bid Volume

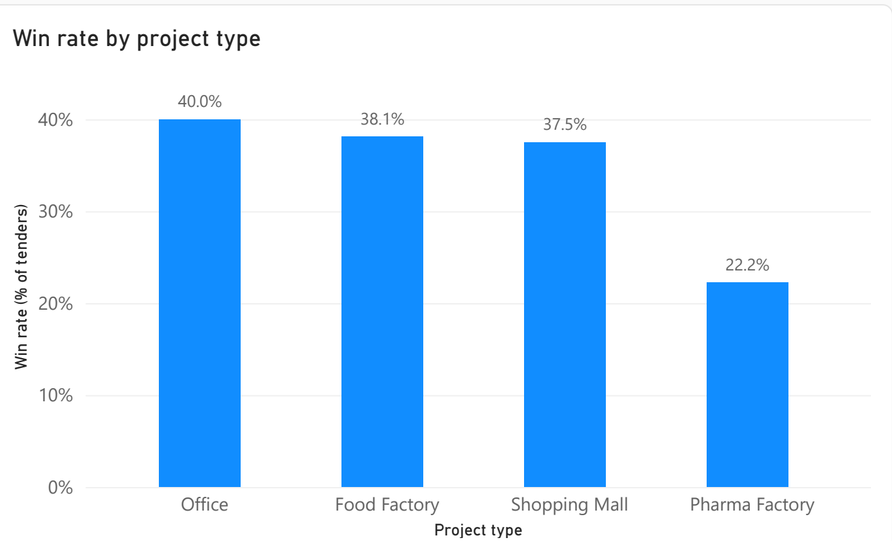
80 MEP tenders 2013–2019 · fictional data

Date

1/1/2013 — 12/31/2021

Tender Count	Won Count	Price Gap to Winner	Win Rate	Total Bid Value	Avg Profit %
80	28	8.7%	35.0%	2.88bn	14.4%

Year	Win Rate	Win Rate Change (pp)	Win Rate LY
2013	27.3%		
2014	30.0%	2.7%	27.3%
2015	55.6%	25.6%	30.0%
2016	18.2%	-37.4%	55.6%
2017	33.3%	15.2%	18.2%
2018	33.3%	0.0%	33.3%
2019	50.0%	16.7%	33.3%



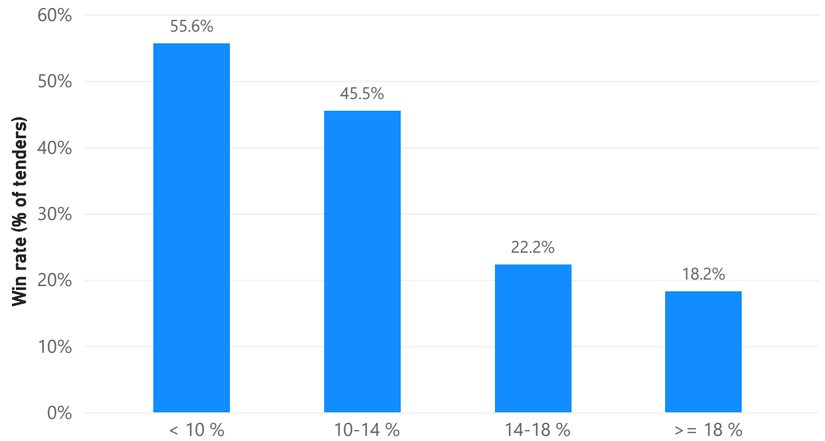
Competitiveness – Margin vs. Win Rate

How much margin can we price in, and which tenders did we lose by a small gap?

Lost tenders – how close were we?

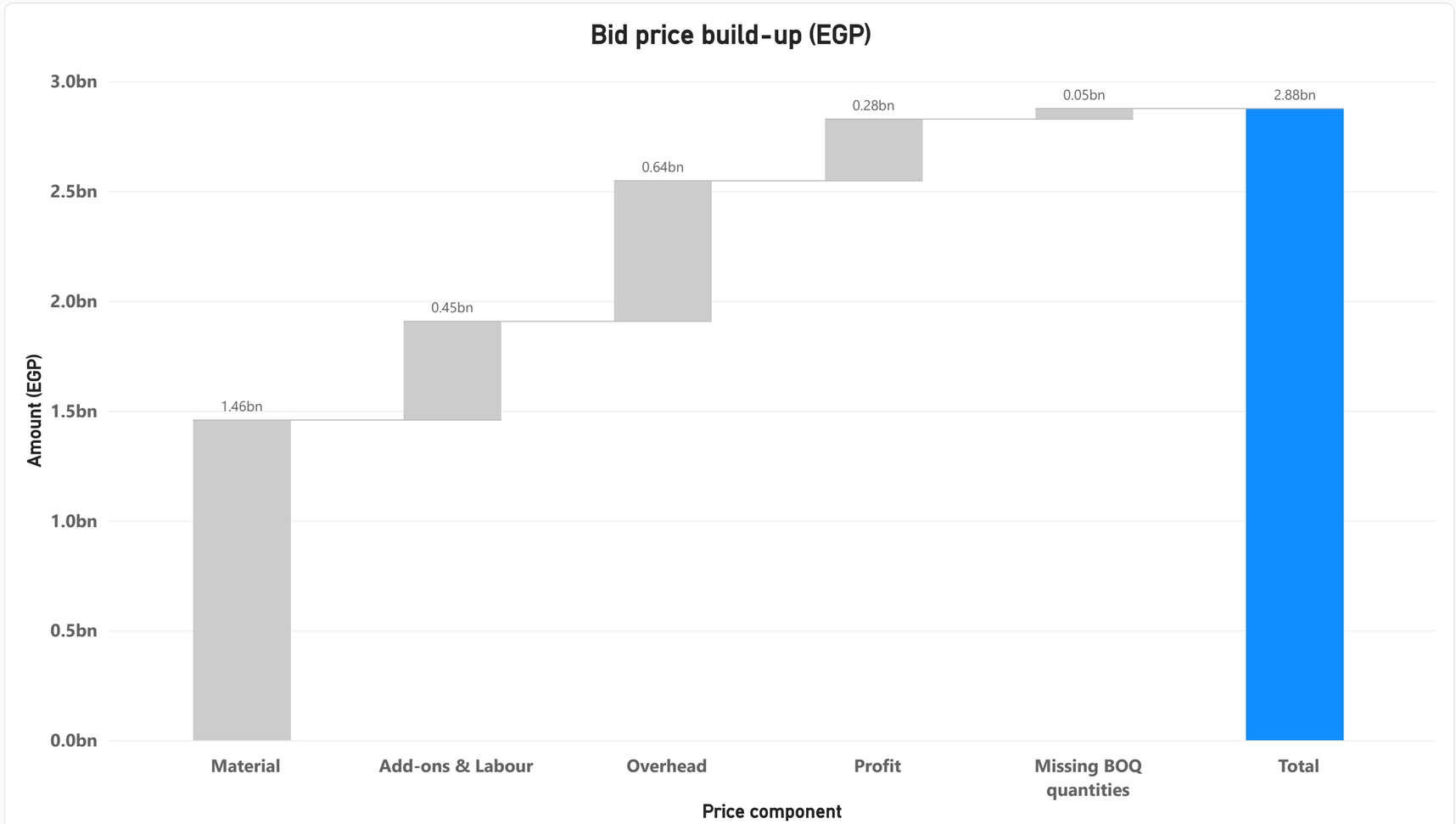
TenderID	ProjectType	ProfitPct	BidPrice_EGP	WinningBid_EGP	Price Gap to Winner	Result
T-013	Pharma Factory	24.3	87,514,366	85,620,916	2.2%	Lost
T-059	Office	12.7	25,263,731	24,695,328	2.2%	Lost
T-025	Shopping Mall	13.0	75,934,136	73,936,603	2.6%	Lost
T-063	Food Factory	11.4	25,127,468	24,456,428	2.7%	Lost
T-078	Pharma Factory	15.6	36,748,072	35,719,510	2.8%	Lost
T-065	Pharma Factory	17.5	35,739,097	34,691,976	2.9%	Lost
T-004	Office	14.0	10,209,551	9,897,005	3.1%	Lost
T-064	Office	13.4	11,006,633	10,639,646	3.3%	Lost
T-008	Pharma Factory	21.7	42,279,638	40,836,091	3.4%	Lost
T-017	Shopping Mall	15.1	65,458,044	63,106,321	3.6%	Lost
T-046	Shopping Mall	15.8	40,881,597	39,305,473	3.9%	Lost
T-009	Office	16.0	58,560,949	56,198,063	4.0%	Lost
T-007	Pharma Factory	20.6	18,039,036	17,249,839	4.4%	Lost
T-050	Office	16.0	60,984,723	58,104,782	4.7%	Lost
T-020	Shopping Mall	8.4	60,826,817	57,894,365	4.8%	Lost
T-018	Office	16.1	10,017,628	9,522,380	4.9%	Lost
T-060	Shopping Mall	14.2	88,733,771	84,201,475	5.1%	Lost
T-044	Food Factory	14.4	45,246,693	42,774,230	5.5%	Lost
T-076	Food Factory	19.9	50,723,431	47,762,316	5.8%	Lost
T-077	Office	15.8	14,390,831	13,542,396	5.9%	Lost
T-066	Pharma Factory	17.6	58,430,305	54,534,057	6.7%	Lost
T-012	Office	16.6	12,128,519	11,293,995	6.9%	Lost
T-006	Shopping Mall	10.4	92,681,747	85,934,712	7.3%	Lost
T-067	Food Factory	10.6	30,685,777	28,120,936	8.4%	Lost
T-043	Food Factory	12.7	20,730,337	18,991,243	8.4%	Lost
T-001	Food Factory	12.4	14,025,669	12,821,571	8.6%	Lost
T-054	Shopping Mall	8.7	18,292,004	16,613,377	9.2%	Lost
T-038	Pharma Factory	15.9	69,636,300	62,915,046	9.7%	Lost
T-032	Shopping Mall	10.2	34,332,582	30,792,129	10.3%	Lost
T-040	Food Factory	15.4	19,695,716	17,623,887	10.5%	Lost

Win rate by profit band – higher margin, fewer wins



Price Waterfall

How a bid price is built up from cost, overhead and profit · 48 M EGP (1.7 %) not covered by BOQ data: 15 lines without quantity



Key takeaways

- Material is about half of the bid price (≈ 51 %)
- Overhead is the 2nd-largest part (≈ 22 %)
- Profit is ≈ 10 % of the bid price
- 1.7 % of the price is not covered by BOQ data